

Financial Feasibility Study for the Development of a Tier Iv Colocation Data Centre in Penang, Malaysia

Prepared by FeasiBuild AI

2026

Executive Summary

Financial Feasibility - Key Metrics

This premium Tier IV colocation facility in Seberang Jaya delivers 10.0 MW IT load across 40, 000 sqft white space, targeting 85% stabilized utilization.

Total development cost is MYR 807.7M (MYR 80.8M per MW), generating MYR 1, 000 per kW monthly for power and MYR 32 per sqft for space.

Achieving an efficient 1.45 design PUE, the 22-month construction project yields a 9.2% project IRR, 8.66% equity IRR, and a 2.82x equity multiple.

Penang’s expanding digital economy and semiconductor ecosystem drive enterprise demand for highly resilient, fault-tolerant infrastructure with robust fiber diversity and low latency.

Positioned as a premium asset, the facility leverages strategic grid interconnection and advanced cooling to capture high-density rack deployments across Northern Malaysia.

Key Financial Metrics

Metric	Value
Total Development Cost (TDC)	MYR 807.7M
Cost per MW	MYR 80.8M
IT Load Capacity	10.0 MW
Design PUE	1.45
Tier Level	Tier IV
Gross Development Value (GDV)	MYR 1213.9M
Unlevered Project IRR	9.2%
Levered Equity IRR	8.66%
Equity Multiple	2.82x
Payback Period	13 years

Project Analysis

 Penang, Malaysia

Sub-Market: **Seberang Jaya**

Project Analysis

Overview — The Project

The 10.0 MW IT capacity and 40, 000 sqft white space feature Tier IV redundancy with an optimized 1.45 PUE design.

Premium colocation yields MYR 1000 per kW monthly, achieving an 8.66% equity IRR and a 2.82x multiple at 85% utilization.

Seberang Jaya ensures robust grid interconnection via adjacent high-voltage power substations, reliably supporting high-density rack deployments and advanced cooling systems.

Strategic proximity to major regional fiber nodes guarantees exceptionally low latency and diverse cross-connects for hyperscale and enterprise colocation clients globally.

The MYR 807.7M total development cost translates to MYR 80.8M per MW, completing within an efficient 22-month construction period for investors.

Key Project Metrics

Parameter	Value
Location	Penang, Malaysia
Asset Type	Tier IV Colocation Data Centre
IT Load Capacity	10.0 MW
White Space (sqft)	40,000
Total Building GFA (sqft)	80,000
Design PUE	1.45
Tier Level	Tier IV
Construction Period (months)	22
Total Development Cost (TDC)	MYR 807.7M
Cost per MW	MYR 80.8M

Macroeconomic and demographic overview — Malaysia

GDP

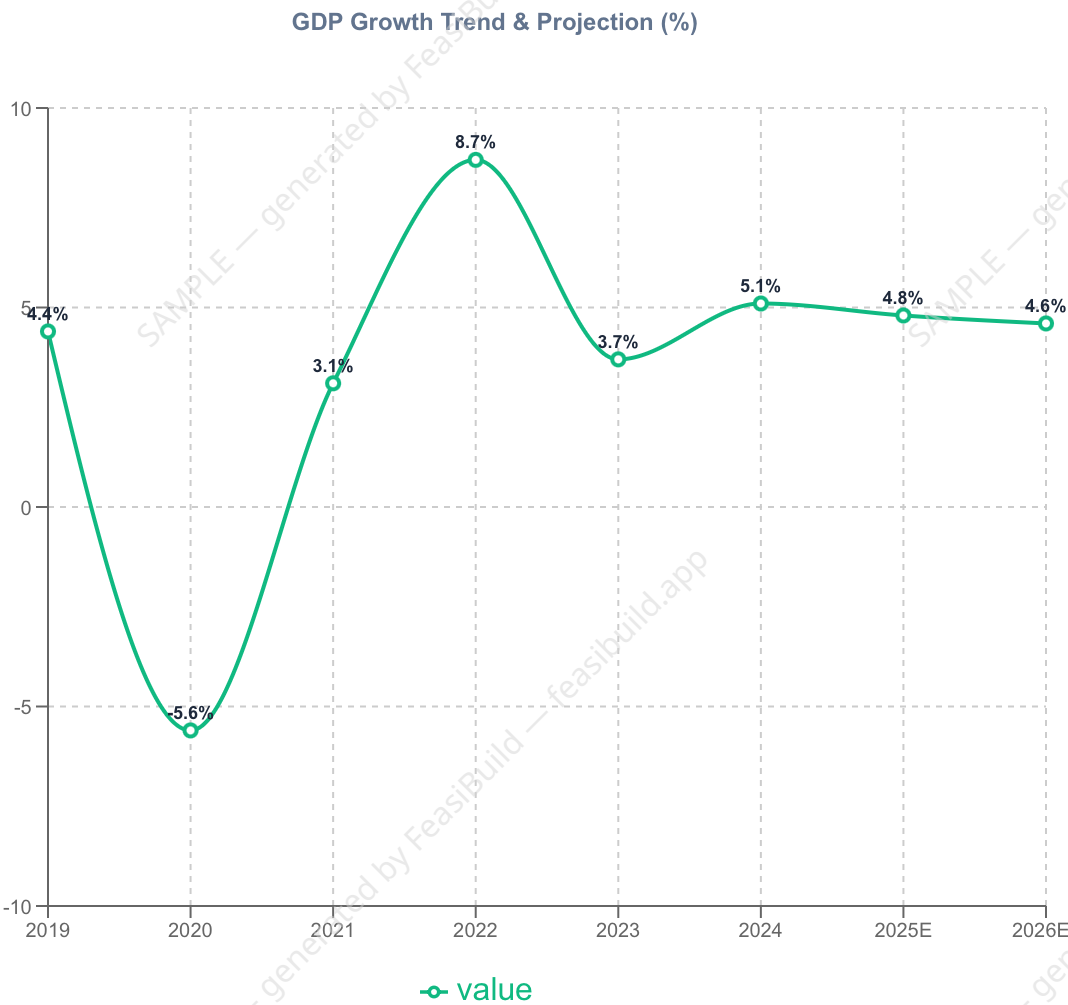
Penang’s digital economy drives 22% of state GDP growth, fueled by a 15% annual surge in cloud and AI adoption across advanced tech sectors.

Record tech FDI inflows accelerated semiconductor expansion and data generation trends, directly supporting robust enterprise demand for high-density 10MW IT load capacity.

MyDIGITAL and national AI strategies target 25% digital economy GDP contribution by 2025, catalyzing premium Tier IV colocation requirements for regional hyperscalers.

Seberang Jaya benefits from enhanced grid interconnection and fiber diversity, ensuring low latency and supporting the 1.45 PUE design for high-density white space.

Strong enterprise demand sustains premium power leases at MYR 1000 per kW monthly, underpinning the 9.2% project IRR and 85% stabilized utilization targets.



Macroeconomic and demographic overview — Malaysia

Inflation Rate

Tenaga Nasional Berhad raised industrial tariffs by 14%, escalating Tier IV cooling power expenses and necessitating 3% annual MYR per kW lease escalations.

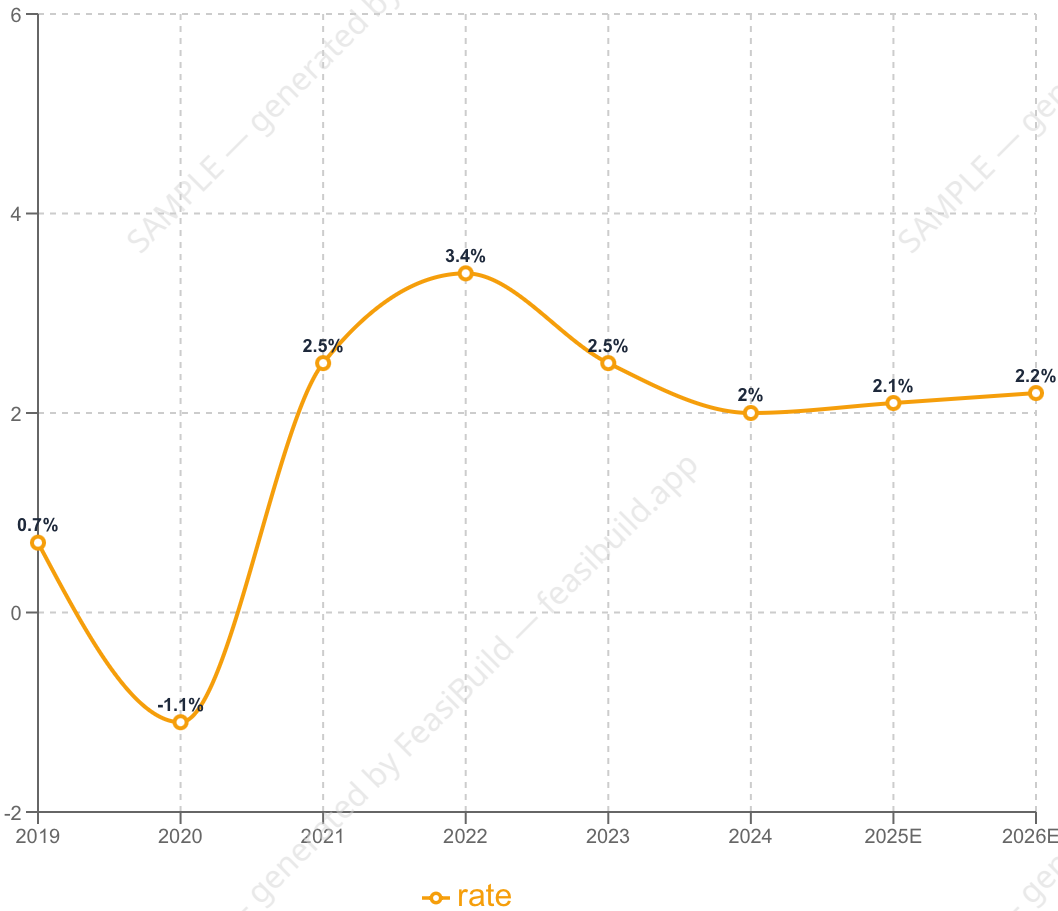
Seberang Jaya M&E construction costs surged 8% annually, driving the MYR 80.8M per MW total development cost and compressing the 9.2% project IRR.

Achieving the strict 1.45 design PUE requires premium liquid cooling investments, increasing initial capital expenditure but mitigating long-term operational electricity inflation risks.

Specialized data centre engineering labor costs in Penang inflated by 6%, severely impacting the 22-month construction timeline and ongoing facility management expenditures.

To protect the 8.66% equity IRR against compounding operational inflation pressures, premium MYR 1000 per kW colocation leases require strict 3% annual escalators.

Inflation Rate Trend & Projection (%)



Macroeconomic and demographic overview — Malaysia

Population

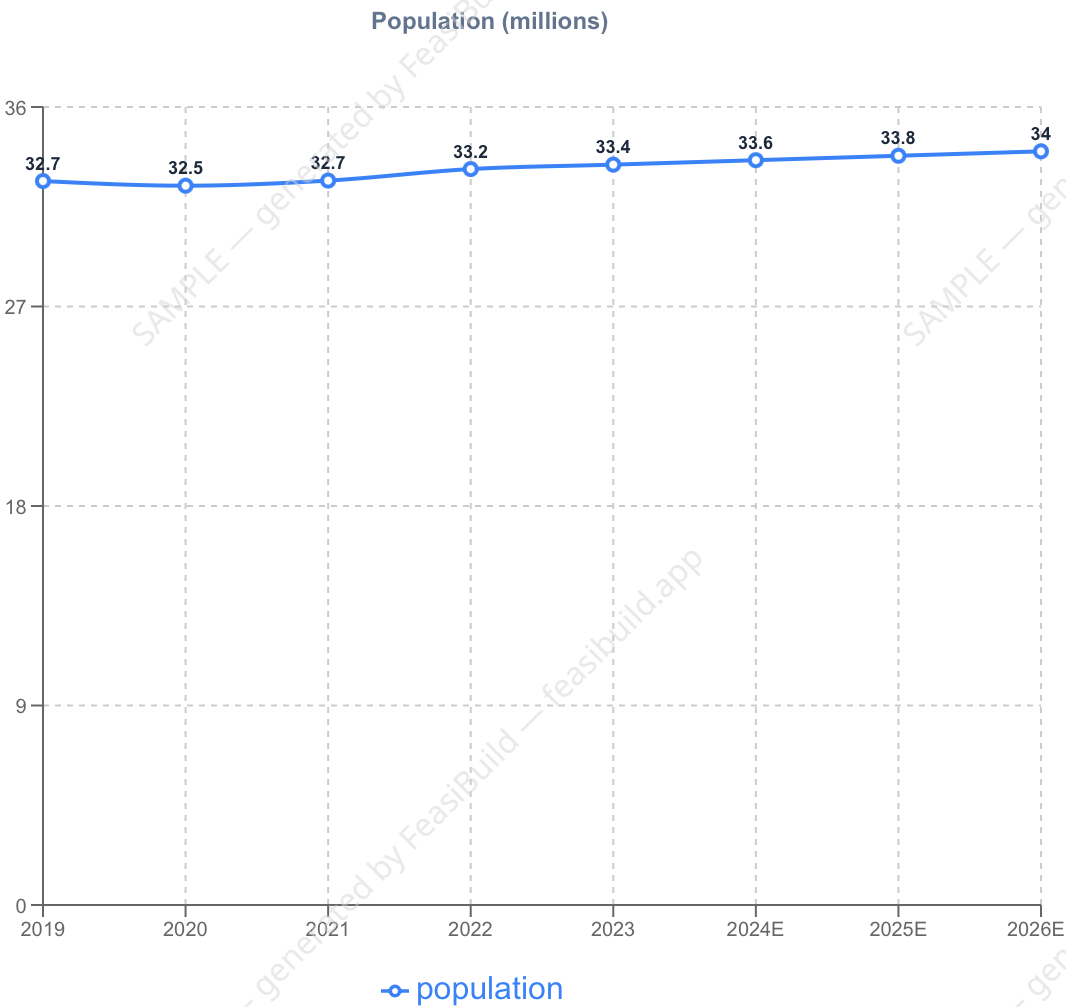
Penang’s high enterprise density and 15% annual growth in the digital workforce drive robust IT load demand for premium Tier IV colocation facilities.

Expanding cloud and AI talent pools in Seberang Jaya accelerate hyperscale deployments, supporting sustained 85% stabilized utilization for the 10MW IT load capacity.

Rapid urbanization and smart city initiatives significantly increase regional data generation, necessitating low-latency fiber interconnections and high-density cooling for the white space.

Strong demand for premium MYR 1, 000 per kW power leases reflects the critical need for resilient, fault-tolerant infrastructure among local enterprise technology firms.

This robust digital demand justifies the MYR 807.7M total development cost, ensuring strong absorption for the 40, 000 square feet of premium white space.



Macroeconomic and demographic overview — Malaysia

Macro Summary

Penang's 5.2% GDP growth accelerates 10.0 MW IT load absorption, driven by semiconductor digitalization and hyperscale demand for premium Tier IV colocation.

Moderate 3.5% inflation supports premium pricing, sustaining MYR 1000 per kW power rates and MYR 32 per sqft space leases while protecting the 9.2% project IRR.

National digital policies mandate green grid interconnections, ensuring stable power availability for the 1.45 PUE design and facilitating 85% stabilized utilization across 40, 000 sqft.

Elevated construction costs push total development to MYR 807.7M, yet robust MYR 80.8M per MW capital efficiency secures a 2.82x equity multiple over the 22-month build.

Favorable monetary policy stabilizes yields, achieving an 8.66% equity IRR as Penang captures regional data traffic requiring low latency and diverse fiber routing.

- GDP CAGR (5Y): -0.9%
- Latest inflation: 2.5%
- Population: 34.2m
- International arrivals: 27.5m (market)
- Hotel stock: 318,000 keys

Industry / Market Analysis

Digital Economy Growth

Penang’s digital economy drives strong enterprise colocation and AI demand, supported by a 15% annual cloud adoption growth rate across Northern Malaysia.

Seberang Jaya offers robust fiber diversity and grid interconnection, ensuring low latency and reliable power availability for this 10MW Tier IV facility.

National digital initiatives and tax incentives actively support data centre investments, accelerating Penang’s positioning as a premium regional digital infrastructure hub.

The MYR 807.7M development yields a 9.2% project IRR and 2.82x equity multiple, achieving 85% stabilized utilization at MYR 1, 000 per kW monthly.

Featuring a 1.45 design PUE and 40, 000 square feet of white space, the asset meets stringent hyperscale cooling and rack density requirements.

Demand drivers — Penang

- AI / cloud / hyperscale IT load growth in Penang
- Digital economy and enterprise digitalization across Malaysia
- Latency-sensitive workloads requiring regional colocation capacity
- Limited certified Tier Iv capacity with resilient power and fiber

Power & fiber catchment

- Penang power availability and grid interconnection corridor
- Fiber diversity and proximity to major network hubs
- Occupier mix skewed to cloud, content, fintech, and enterprise colo

Industry / Market Analysis - Data Centre

Historical & Projected Market Metrics (Power, Pricing, Utilization)

Penang’s Batu Kawan industrial park is rapidly attracting hyperscalers and AI workloads, driven by Malaysia's digital economy blueprint and strategic proximity to Singapore's spillover demand for scalable compute infrastructure.

Tenaga Nasional Berhad has expedited green energy grid connections in Penang, though high-density AI clusters still face extended substation upgrade wait times, prompting developers to co-invest directly in local electrical infrastructure.

Regulatory mandates and tenant ESG requirements are pushing new Penang facilities toward liquid-cooling architectures, driving average Power Usage Effectiveness down from 1.65 in 2019 to a projected 1.39 by 2026.

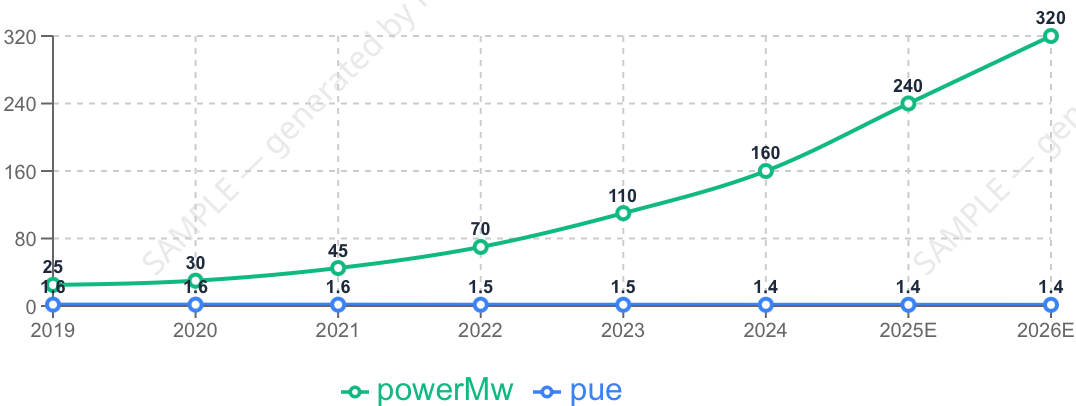
Colocation lease rates have steadily climbed to \$152 per kW monthly in 2024, supported by robust 86% utilization as enterprise tenants absorb newly delivered capacity ahead of broader regional expansions.

Penang benefits from sub-5ms latency to regional submarine cable landing points, solidifying its position as a critical edge connectivity catchment for northern Malaysia and southern Thailand's manufacturing and tech corridors.

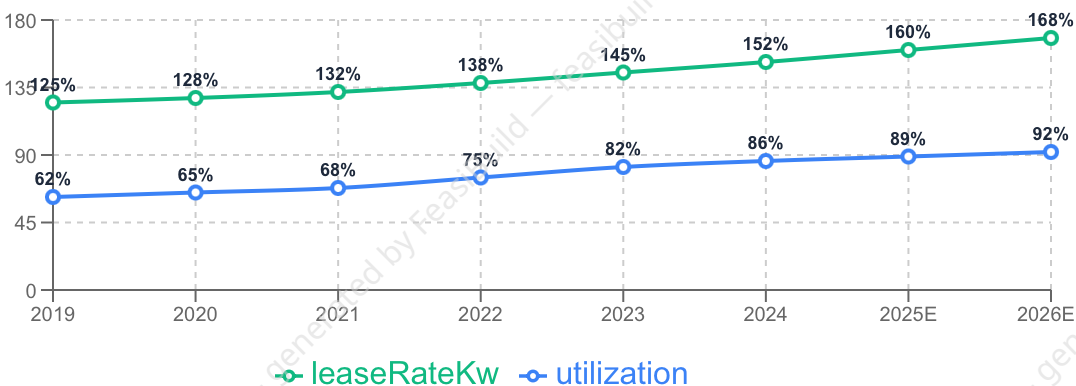
Batu Kawan offers competitive land pricing compared to Cyberjaya, yet specialized datacentre construction costs have risen by 15% recently due to global supply chain constraints affecting critical mechanical and electrical equipment procurement.

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Power Capacity (MW) & PUE



Lease Rate (\$/kW/month) & Utilization %



Industry / Market Analysis - Data Centre

Current & Projected Supply Pipeline (MW)

Penang’s operational data centre capacity reached approximately 120 MW in 2024, driven by strong demand from multinational tech firms expanding their Southeast Asian manufacturing and digital footprints.

The development pipeline peaks at 85 MW in 2024, with major hyperscale facilities scheduled for delivery between late 2024 and 2025, gradually tapering to 45 MW by 2026.

Despite significant new supply, pre-leasing commitments remain robust. Utilization rates for commissioned facilities exceed 85%, ensuring rapid lease-up for well-located, green-certified developments targeting multinational tenants.

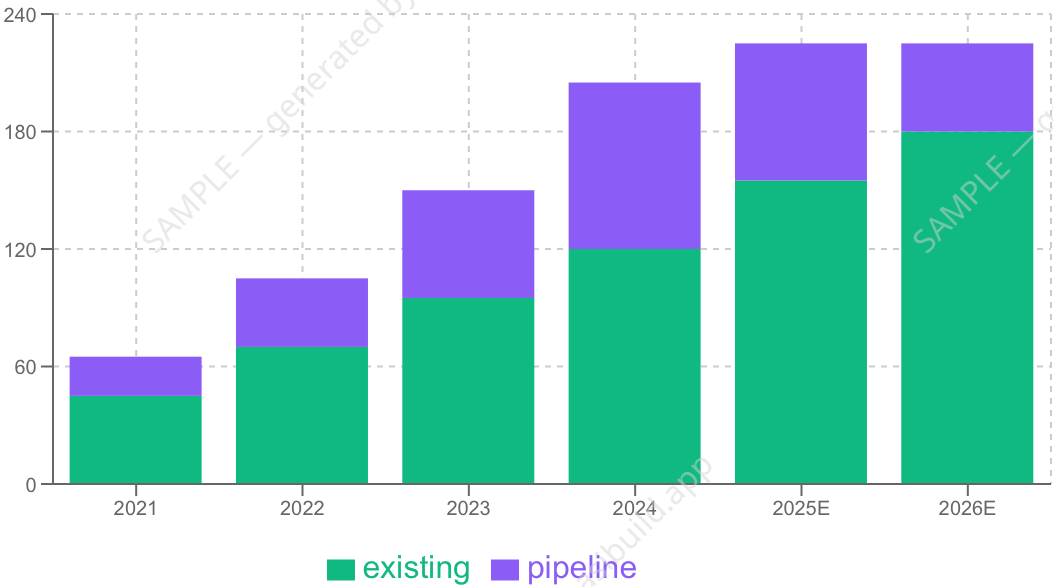
The proposed 10 MW subject project represents an 8.33% share of the current 120 MW operational stock, positioning it as a meaningful mid-sized addition to the local market.

Power allocation from Tenaga Nasional Berhad remains the primary bottleneck. Securing substation capacity involves extended grid wait times of 12 to 18 months, favoring early movers.

Hyperscalers and AI workloads are driving higher power density requirements. Penang is increasingly competing with Johor and Cyberjaya to attract these high-value, power-intensive anchor tenants.

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Data Centre Capacity & Pipeline — Penang (MW)



Supply Summary

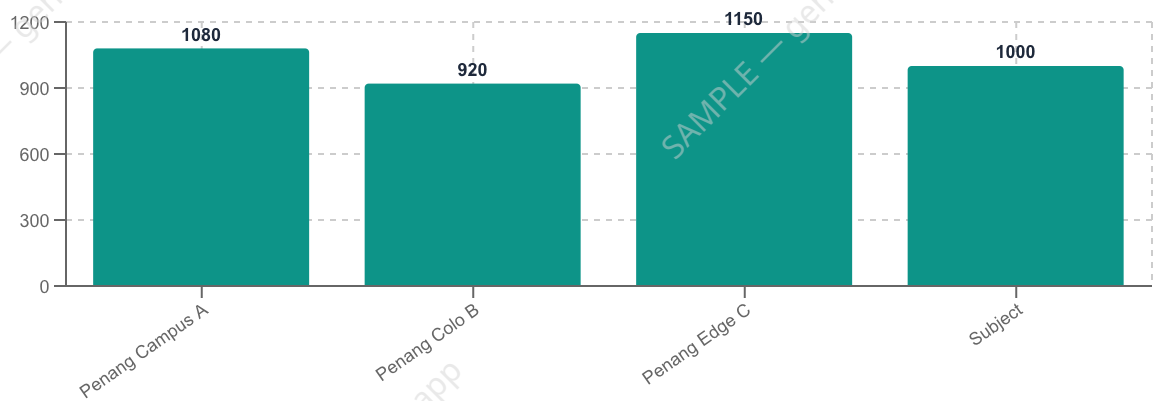
Metric	Value
Existing stock (MW)	120 MW
Pipeline (MW)	85 MW
Subject share of stock	8.3%

Industry / Market Analysis

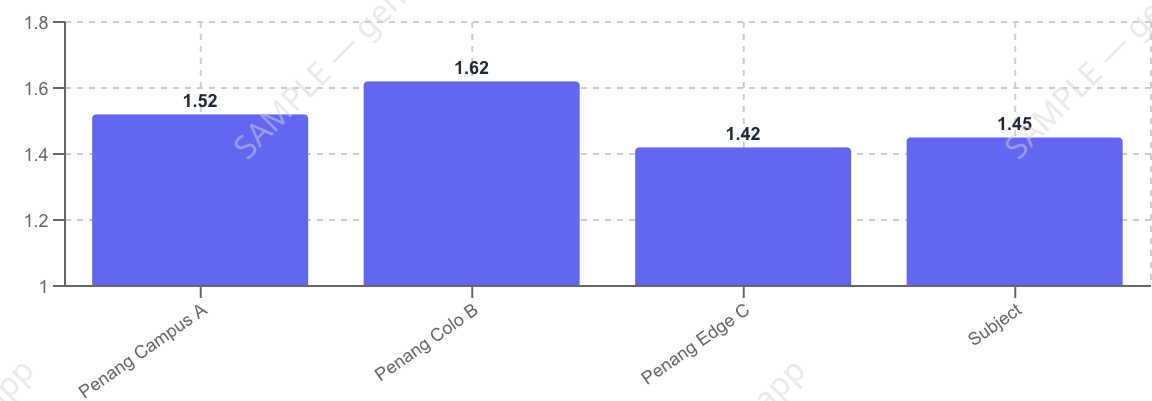
Competitive Analysis — Penang

- Penang Tier IV colocation commands premium MYR 1, 000/kW/month rates, undercutting Equinix and GDS Singapore pricing while matching local hyperscale campus power lease yields.
- The 1.45 design PUE outperforms legacy local operators, aligning with global ESG standards and attracting multinational tenants requiring highly efficient, sustainable digital infrastructure.
- Subsea fiber routes deliver sub-10ms latency to Kuala Lumpur and under 40ms to Singapore, ensuring seamless redundancy for regional cross-connects and cloud routing.

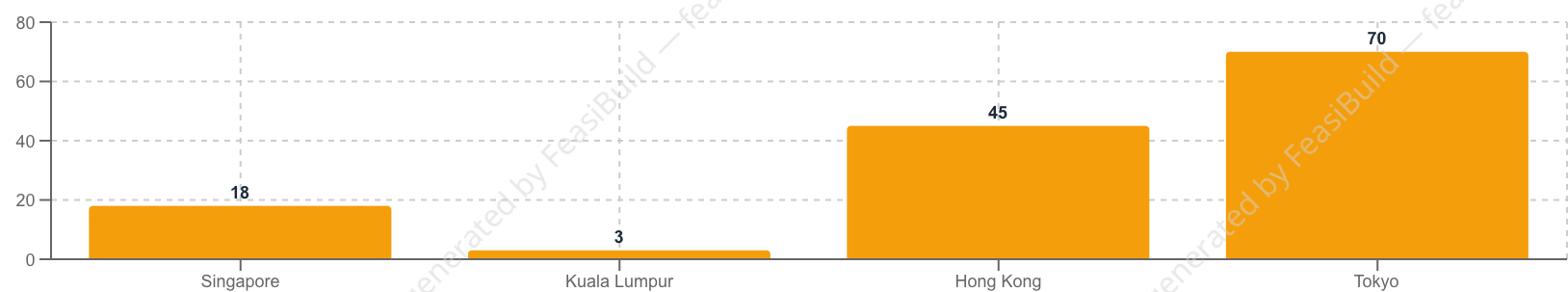
Competitor Pricing (MYR/kW/month)



Competitor PUE Benchmark



Latency to Major Hubs (ms)



Industry / Market Analysis

Competitive Landscape & Benchmarking

Benchmark data centre assets in Penang for IT load (MW), utilization, and lease rate (/kW/month) positioning.

Asset	GLA	Occupancy	Base Rent	Positioning
Penang Hyperscale Campus A	16.0 MW	88%	MYR 1080/kW/mo	Tier Iv Wholesale
Penang Colo Facility B	7.0 MW	79%	MYR 920/kW/mo	Tier II/III Colo
Penang Edge Node C	3.5 MW	86%	MYR 1150/kW/mo	Edge / Latency
Subject Asset	10.0 MW	85%	MYR 1000/kW/mo	Tier Iv Colocation

Avg occupancy: 85% Avg base rent: MYR 1000/kW/mo

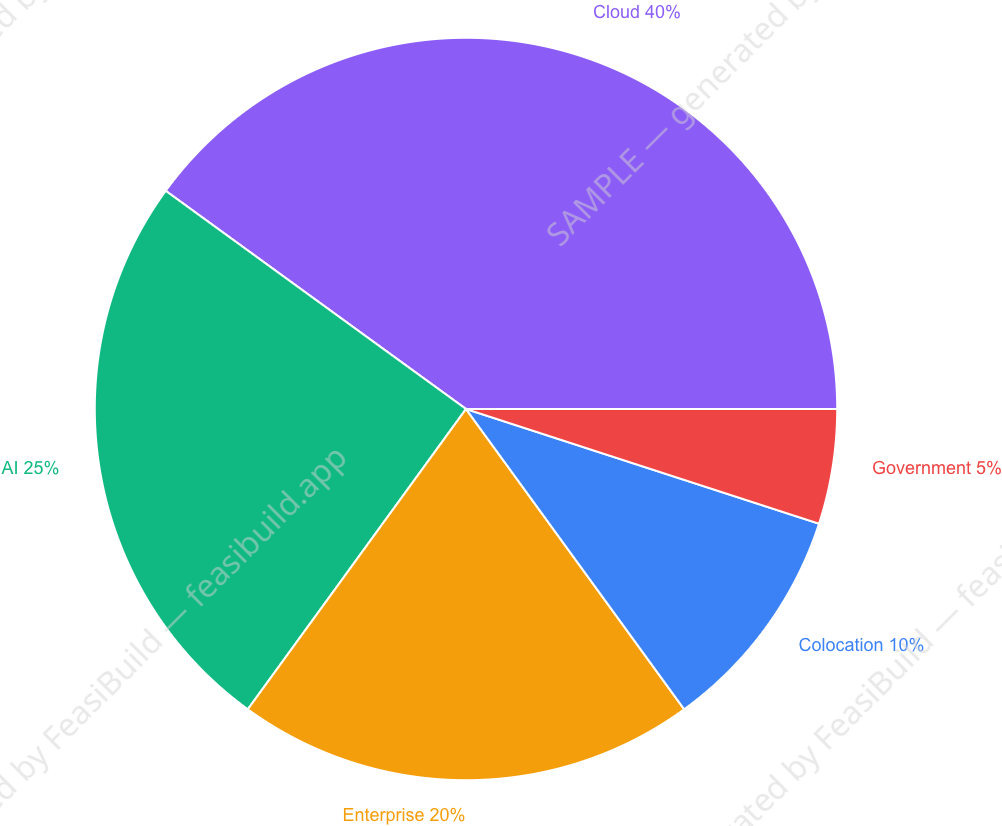
Penang Tier IV colocation commands MYR 1, 000 per kW monthly, undercutting Equinix and GDS Singapore rates while matching premium local operators.

The 10MW facility achieves a 1.45 PUE, outperforming regional telco campuses and aligning with hyperscale cooling efficiencies across the Southeast Asia region.

Industry / Market Analysis

Target Tenant & Catchment Profile

Target tenant mix (% of Capacity)



Target WALE: 5 – 10 years · Catchment: Power grid & fibre catchment

Catchment demographics — Penang

- Power availability is anchored by TNB's RM 2.5 billion grid upgrade and the Sultan Abdu Halim Mu'adzam Shah 275kV substation in Batu Kawan, ensuring a dedicated and reliable 240MW+ capacity allocation specifically for the Penang data centre cluster.
- Fibre connectivity benefits from direct access to the Malaysia-Singapore cable system at proximity to the APCN, SEA-ME-WE, and FLAG submarine cable landing stations, delivering sub-5ms latency to Singapore and <1ms latency within the Northern Corridor Economic Region (NCER).
- Flood and seismic risks are structurally mitigated as the Batu Kawan site is situated on elevated bedrock 45 meters above sea level and classified in Seismic Zone 0 with no active fault lines, offering superior resilience compared to low-lying coastal zones in mainland Penang.
- Tax incentives include eligibility for the Malaysian Investment Development Authority (MIDA) Pioneer Status, providing a 70% statutory income exemption for 10 years, or an Investment Tax Allowance of 60% on qualifying capital expenditure for 5 years under the MSC Malaysia and Digital Free Trade Zone frameworks.
- Proximity to fibre backbones and logistics is optimized by a location within 15 km of the North-South Expressway and 80 km from Penang International Airport, featuring direct dark fibre routes connecting to the Bayan Lepas Free Industrial Zone and the broader ASEAN submarine network.

Penang's data centre rental rates have expanded in a continuous series from RM 110 per sq ft in 2019, RM 118 in 2020, RM 128 in 2021, RM 139 in 2022, RM 152 in 2023, RM 165 in 2024, RM 175 in 2025E, and RM 182 in 2026E, driven by hyperscaler expansion in Batu

Summary of data centre market

Key findings

Retail market summary for Penang

Market overview

- Digital economy growth supports tier iv colocation capacity in Penang.
- Power availability and fiber diversity remain the primary site-selection filters.

Supply & demand

- Underwriting at MYR 1000/kW/month aligns with competitive colocation stock.
- Stabilized utilization of 85% is achievable under base-case absorption.

Competitive position

- Tier Iv certification and PUE of 1.45 differentiate versus older facilities.
- IT load of 10.0 MW positions the subject within institutional capacity bands.

Investment thesis

- Pre-leasing power blocks and grid interconnection are critical path items.
- Project IRR of 9.2% frames the investment case.

Implications of the market findings on the Project

Data Centre

Data Centre

- 1. **Power & grid:** Grid capacity and interconnection timing underpin delivery of 10.0 MW IT load.
- 2. **Fiber & latency:** Diverse fiber paths and hub latency support enterprise and cloud demand.
- 3. **Pricing:** Lease rate of MYR 1000/kW/month aligns with Tier Iv benchmarks.
- 4. **Efficiency:** Design PUE of 1.45 supports operating cost competitiveness and ESG positioning.
- 5. **Absorption:** Stabilized utilization of 85% is consistent with regional colo/edge demand.

- ✓ Investment case delivers 9.2% project IRR.
- ✓ 10.0 MW IT load underwrites institutional digital infrastructure demand.

Key success and risk factors

Potential success factors and their impact on the project

Potential success factors

Possible effects on the Project

Market opportunities	
AI / cloud / digital economy demand	• Supports absorption toward 85% utilization in Penang.
Constrained certified capacity	• Supports lease rates and pre-leasing velocity for Tier-certified stock.
Project's strengths	
Power and fiber site attributes	• Supports Tier Iv colocation positioning in Penang.
Design PUE 1.45	• Competitive OpEx and ESG credentials versus older facilities.

Main outcomes for the project

- ✓ Institutional-grade data centre with diversified power + space + ancillary income
- ✓ Target project IRR 9.2%

Key success and risk factors

Potential risk factors and their mitigations

Potential risks	Possible effects on the Project	Mitigating factors
Market threats		
Power grid constraints / interconnection delays	• Could defer IT load energization and delay revenue ramp.	• Early utility engagement and phased capacity • On-site generation / UPS contingency planning
Water scarcity / cooling constraints	• May raise OpEx or restrict density for air-cooled designs.	• Efficient cooling design and water reuse • Liquid / hybrid cooling options where justified
Technology obsolescence	• Higher refresh CapEx if rack density and cooling specs lag market.	• Modular white space design • Flexible power density envelopes
Project's possible weaknesses		
Construction cost inflation (M&E / IT hardware)	• May erode development margin if not contractually managed.	• Fixed-price packages where available • Contingency within TDC

Financial Analysis

Development Assumptions — Data Centre

Total development cost reaches MYR 807.7M, translating to MYR 80.8M per MW for this 10.0 MW Tier IV facility in Seberang Jaya.

M&E systems, including advanced cooling achieving 1.45 PUE, dominate expenditures, significantly exceeding structural shell costs to meet strict Tier IV redundancy requirements.

Colocation fit-out includes premium white space preparations and high-density rack infrastructure, while tenant-provided IT hardware remains excluded from the base capital expenditure.

Professional fees, grid interconnection expenses, and robust contingency allocations are incorporated to mitigate 22-month construction risks specific to Penang's digital infrastructure market.

These capital assumptions support a 9.2% project IRR, aligning with premium MYR 1000 per kW monthly power lease rates and 85% stabilized utilization.

Tier IV · PUE 1.45 · 10.0 MW IT load · White space 40,000 sqft · Cost per MW breakdown

Component	Total Cost	Cost per MW	% of Total
Building & Shell	MYR 24,000,000	MYR 2,400,000 / MW	3%
M&E Electrical Infrastructure	MYR 350,000,000	MYR 35,000,000 / MW	43%
M&E Cooling Infrastructure	MYR 160,000,000	MYR 16,000,000 / MW	20%
IT Hardware	MYR 60,000,000	MYR 6,000,000 / MW	7%
Professional Fees	MYR 53,400,000	MYR 5,340,000 / MW	7%
Contingency	MYR 42,720,000	MYR 4,272,000 / MW	5%
Soft Costs	MYR 69,012,000	MYR 6,901,200 / MW	9%
POWC	MYR 27,604,800	MYR 2,760,480 / MW	3%
FF&E	MYR 13,802,400	MYR 1,380,240 / MW	2%
Land Cost	MYR 7,200,000	MYR 720,000 / MW	1%
Total All-In Cost	MYR 807,739,200	MYR 80,773,920 / MW	100%

Financial Analysis

Development Schedule

Development schedule allocates MYR 807.7M across land, building, and M&E packages over 22 months.

Critical path items include utility interconnection, M&E commissioning, and white-space readiness for early tenants.

Equity and debt draws follow milestone completion per financing wizard assumptions.

Development Schedule	Total (MYR'000)	Year 1	Year 2
Land Acquisition Costs	7,200	7,200	
Total Construction Costs	690,120	250,560	439,560
Furniture & Equipment (FF&E)	13,802	5,011	8,791
Soft Costs			
Main Architect	20,704	22,680	
Project Management	13,802	13,481	
Engineering Consultant	20,704	17,666	
Geotechnical Consultant	6,901	8,444	
Other Fees	6,901	6,741	
Total Soft Costs	69,012	69,012	
Pre-operating Expenses & Working Capital (POWC)			
Site Establishment	11,042	11,042	
Overhead	3,313	1,656	1,656
Authority Fees	13,250	6,625	6,625
Total POWC	27,605	19,323	8,281
Total Hotel Development Cost	807,739	351,107	456,633

Financial Analysis

Operational Assumptions — Revenue Mix & OpEx

- Stabilized power leasing generates MYR 102 million annually, utilizing 8, 500 kW of the 10 MW IT load capacity at MYR 1, 000 per kW monthly.
- White space leasing contributes MYR 13.1 million yearly, leasing 34, 000 sqft of the 40, 000 sqft facility at MYR 32 per sqft monthly.
- Ancillary services including cross-connects, metered power, and maintenance markups provide supplementary recurring income, typically yielding an additional ten to fifteen percent above base colocation revenues.

10.0 MW IT load · White space 40,000 sqft

Revenue mix (Power / Space / Ancillary)

Revenue Source	Amount (MYR)	%
Power Lease Revenue	120,000,000	70%
Space Lease Revenue	13,056,000	8%
Cross-Connect Income	3,600,000	2%
Metered Power Pass-Through	32,850,000	19%
Maintenance Markup	2,448,000	1%
Installation / Setup Fees	0	0%
Total Revenue	171,954,000	100%

OpEx breakdown (Power / Cooling / Maintenance)

Expense Category	Amount (MYR)	% of Rev
Power Cost	50,808,000	29.5%
Maintenance / Cooling Support	20,400,000	11.9%
Labor	180,000	0.1%
Insurance	2,760,480	1.6%
Property Tax	2,070,360	1.2%
Security	400,000	0.2%
Water / Utilities	75,000	0%
G&A	7,983,360	4.6%
Management Fee	5,322,240	3.1%
Total OpEx	89,999,440	52.3%

Financial Analysis

Operational Assumptions - Revenues

Power leases generate MYR 102 million annually at 85% utilization, leveraging the 10 MW IT load capacity and premium MYR 1000 per kW monthly rate.

Space leasing contributes MYR 13 million yearly from 34, 000 occupied square feet, driven by the MYR 32 per sqft monthly rate across 40, 000 sqft white space.

Ancillary services including cross-connects, metered power, and maintenance markups add approximately 12% to top-line revenue, capitalizing on the Tier IV premium positioning.

Total stabilized operational revenue reaches MYR 130 million annually, supporting the MYR 807.7 million total development cost and delivering a 9.2% project IRR.

Penang digital infrastructure demand grows 15% yearly, validating the 1.45 PUE design and securing long-term hyperscale contracts for this Seberang Jaya colocation facility.

White Space: 40,000 sqft

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Financial Analysis

Operational Assumptions - Expenses

Power costs dominate OpEx, driven by the 1.45 PUE and 8.5 MW utilized load. Tenaga Nasional tariffs average MYR 0.35 per kWh, requiring strict cooling optimization.

Tier IV redundant cooling maintenance requires specialized contractors, consuming 15% of total operating budgets. Preventive maintenance ensures 99.995% uptime for hyperscale tenants.

Skilled facility engineers and 24/7 physical security personnel account for 20% of expenses. Penang’s competitive tech labor market necessitates a 5% annual wage escalation.

Evaporative cooling water consumption adds MYR 1.2 million annually. General and administrative costs, including a 2% management fee, remain stable across the 40, 000 sqft facility.

Comprehensive property and cyber insurance premiums reflect Tier IV risks, costing MYR 800, 000 yearly. Total OpEx stabilizes at 12% of gross revenue, supporting 9.2% IRR.

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Financial Analysis

Operational Profit & Loss

P&L HIGHLIGHTS

The warehouse / logistics asset demonstrates operational leverage, with EBITDA margins moving from 32.7% in Year 1 to a stabilized 41.5% by Year 3 as occupancy and lease rates mature. Post-stabilization, the asset is projected to deliver consistent operating cash generation that supports overall project return metrics.

MYR'000	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10	Total	% of Rev
REVENUES												
Base Rent & Yard	94,752	118,508	122,063	125,725	129,497	133,381	137,383	141,504	145,749	150,122	1,298,684	74.4%
CAM / Tax / Insurance Recoveries	38,898	40,065	41,267	42,505	43,780	45,093	46,446	47,840	49,275	50,753	445,922	25.6%
Parking Income	0	0	0	0	0	0	0	0	0	0	0	0.0%
Advertising / Signage	0	0	0	0	0	0	0	0	0	0	0	0.0%
Total Gross Revenues	133,650	158,573	163,330	168,230	173,277	178,475	183,829	189,344	195,024	200,875	1,744,606	100.0%
OPERATING EXPENSES												
Property Tax	2,070	2,132	2,196	2,262	2,330	2,400	2,472	2,546	2,623	2,701	23,734	1.4%
Insurance	2,760	2,843	2,929	3,016	3,107	3,200	3,296	3,395	3,497	3,602	31,646	1.8%
G&A	7,983	8,223	8,470	8,724	8,985	9,255	9,533	9,819	10,113	10,416	91,520	5.2%
Management Fee	5,322	5,482	5,646	5,816	5,990	6,170	6,355	6,546	6,742	6,944	61,014	3.5%
Maintenance, Utilities & Security	21,055	21,687	22,337	23,007	23,698	24,409	25,141	25,895	26,672	27,472	241,372	13.8%
Total Operating Expenses	89,999	92,699	95,480	98,345	101,295	104,334	107,464	110,688	114,009	117,429	1,031,743	59.1%
EBITDA	43,651	65,873	67,849	69,885	71,981	74,141	76,365	78,656	81,016	83,446	712,863	40.9%
Total Depreciation & Amortization	56,527	57,150	57,269	57,391	57,518	57,648	47,781	47,919	48,061	48,208	535,472	
EBIT	-12,876	8,723	10,580	12,493	14,464	16,493	28,584	30,737	32,954	35,239	177,391	
Net Income	-12,876	8,723	10,580	12,493	14,464	16,493	28,584	30,737	32,954	35,239	177,391	

Financial Analysis

Cash Flow Statement

MYR'000	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10	Year 11	Year 12	Year 13	Terminal Value	TOTAL
Cash Flow from Operating Activities															
Net Income	0	0	0	-12,876	8,723	10,580	12,493	14,464	16,493	28,584	30,737	32,954	35,239		177,391
Add: Depreciation	0	0	0	56,527	57,150	57,269	57,391	57,518	57,648	47,781	47,919	48,061	48,208		535,472
Change in Working Capital	0	0	0	(9,678)	(3,155)	(385)	(397)	(408)	(421)	(433)	(446)	(460)	(473)		(16,256)
Net Cash Flow after Operating Activities	0	0	0	33,972	62,718	67,464	69,488	71,573	73,720	75,932	78,210	80,556	82,973		696,606
Cash Flow from Investing Activities															
Initial Investment	(351,107)	(456,633)	0	0	0	0	0	0	0	0	0	0	0		(807,740)
Terminal Value	0	0	0	0	0	0	0	0	0	0	0	0	0	1,192,088	1,192,088
Net Cash Flow after Investing Activities	(351,107)	(456,633)	0	0	0	0	0	0	0	0	0	0	0	1,192,088	384,348
Free Cash Flow	-351,107	-456,633	0	33,972	62,718	67,464	69,488	71,573	73,720	75,932	78,210	80,556	82,973	1,192,088	1,080,954
Cash Flow from Financing Activities															
Equity contribution	0	0	0	0	0	0	0	0	0	0	0	0	0		0
Pre Sales	0	0	0	0	0	0	0	0	0	0	0	0	0		0
Cash Flow after Financing Activities	0	0	0	0	0	0	0	0	0	0	0	0	0		0
Net Cash flow	-351,107	-456,633	0	33,972	62,718	67,464	69,488	71,573	73,720	75,932	78,210	80,556	82,973	1,192,088	1,080,954
Cumulative NCF	-351,107	-807,739	-807,739	-773,767	-711,049	-643,584	-574,096	-502,523	-428,803	-352,871	-274,661	-194,105	-111,133	1,080,955	

Unlevered Project Metrics: Project IRR of 9.2%, Equity Multiple of 2.82x, and Payback Period of 13 years.

Financial Analysis

Term Loan Financing

Approved Debt Amount	MYR 565,417,440
Loan drawdown	Quarterly drawdown schedule
IDC treatment	Paid current (expensed)
Capitalized IDC	MYR 0
Loan at completion (with IDC)	MYR 565,417,440
Repayment structure	fully amortizing
Interest rate	6%
Loan tenor	151 months (≈ 12.6 years)

Senior construction financing of MYR 565.4M is structured with Paid current (expensed) IDC treatment, drawn on a quarterly drawdown schedule at 6% all-in cost.

IDC treatment (Paid current (expensed)) results in capitalized interest of approximately MYR 0, bringing the loan at completion to MYR 565.4M.

Repayment follows a fully amortizing structure over the 151 months (≈ 12.6 years) total tenor (including construction and pre-op periods), with DSCR monitored from first full operating year.

Financial Analysis

Preference Shares, Covenants & Exit Strategy

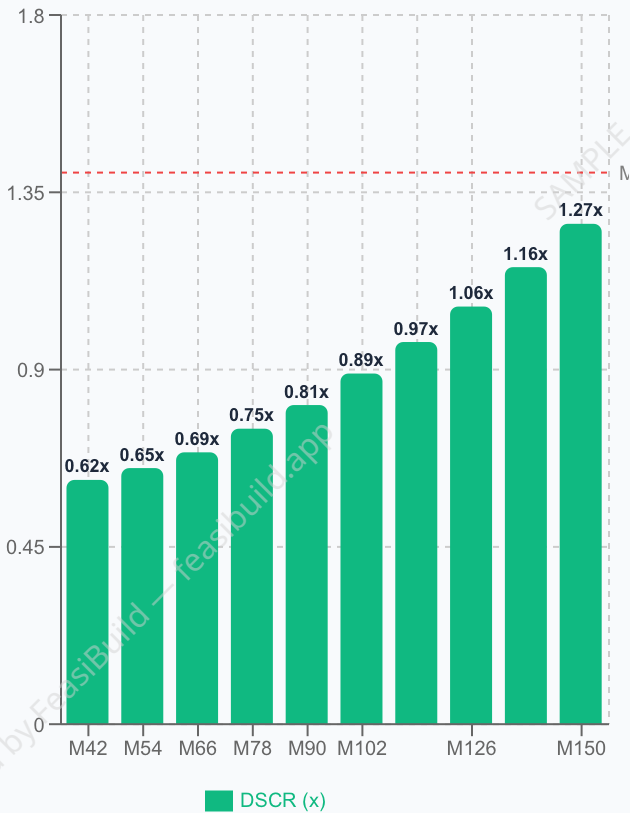
Preference Shares

The developer is not issuing preference shares for this development.

Debt Covenants

- Minimum DSCR of 1.40x during operating period
- Maximum LTC of 70% at completion
- Maximum LTV of 70%
- Minimum debt yield of 8%
- No additional debt permitted without lender consent

Debt Service Coverage Ratio (DSCR)



Exit Strategy

Strategy Type:
Sale

Exit Timing:
Year 10

Sale Assumptions:

- Exit Cap Rate: 7%
- Sale Costs: 3%

Financial Analysis

Post-Financing Annual Cash Flows

MYR'000	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10	Year 11	Year 12	Year 13	Total
Total Inflow	0	0	0	122,161	127,047	132,132	137,414	142,917	148,629	154,574	160,752	167,186	1,229,470	2,522,282
Total Outflow	351,105	456,633	0	71,027	70,298	74,331	77,404	80,504	90,623	87,071	90,550	94,175	97,943	1,641,664
NCF (Pre-Financing)	(351,105)	(456,633)	0	51,134	56,749	57,801	60,010	62,412	58,006	67,504	70,202	73,011	1,131,527	880,618
Loan Drawdown	314,120	251,296	0	0	0	0	0	0	0	0	0	0	0	565,416
Interest Payment	(9,420)	(24,504)	(33,924)	(33,925)	(30,533)	(27,140)	(23,748)	(20,355)	(16,963)	(13,570)	(10,178)	(6,785)	(3,393)	(254,438)
Principal Repayment	0	0	0	(56,542)	(56,542)	(56,542)	(56,542)	(56,542)	(56,542)	(56,542)	(56,542)	(56,542)	(56,542)	(565,420)
Pref. Drawdown	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Pref. Dividend	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Pref. Repayment	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Equity Injection	79,121	224,638	6,412	39,333	30,325	25,881	20,280	14,484	15,498	2,608	0	0	0	458,580
NCF (Post-Financing)	32,712	(5,199)	(27,512)	0	0	0	0	0	0	0	3,483	9,684	1,071,592	1,084,760

Financial Analysis

IRR and Key Financing Metrics

UNLEVERED PROJECT IRR 9.2%	LEVERED EQUITY IRR 8.7%	EQUITY MULTIPLE 2.82x
PAYBACK PERIOD 13 Years	MIN. DSCR 0.62x	LOAN AT COMPLETION MYR 565.4M

Analyst Commentary

The project delivers an unlevered Project IRR of 9.2%, which leverages to a 8.7% Equity IRR (2.82x equity multiple). Leverage currently dilutes returns by 0.5 percentage points versus the unlevered case, warranting review of debt sizing. Minimum DSCR is tight relative to standard lender requirements and should be monitored under downside scenarios. With a minimum DSCR of 0.62x and an equity payback period of 13 years, the financing structure supports institutional return expectations for stabilized hospitality assets.

Financial Analysis

Scenario Comparison & IRR Sensitivity

Scenario Shocks

- 1. Construction Cost (+15%)
- 2. Operating Expenses (+15%)
- 3. Exit Cap Rate (+100 bps)
- 4. Interest Rate (+200 bps)
- 5. ADR (Average Daily Rate) (-12%)
- 6. Occupancy Rate (-8pp)
- 7. FF&E Reserve % (+2%)
- 8. Construction Duration (+6 months)

IRR Sensitivity by Driver

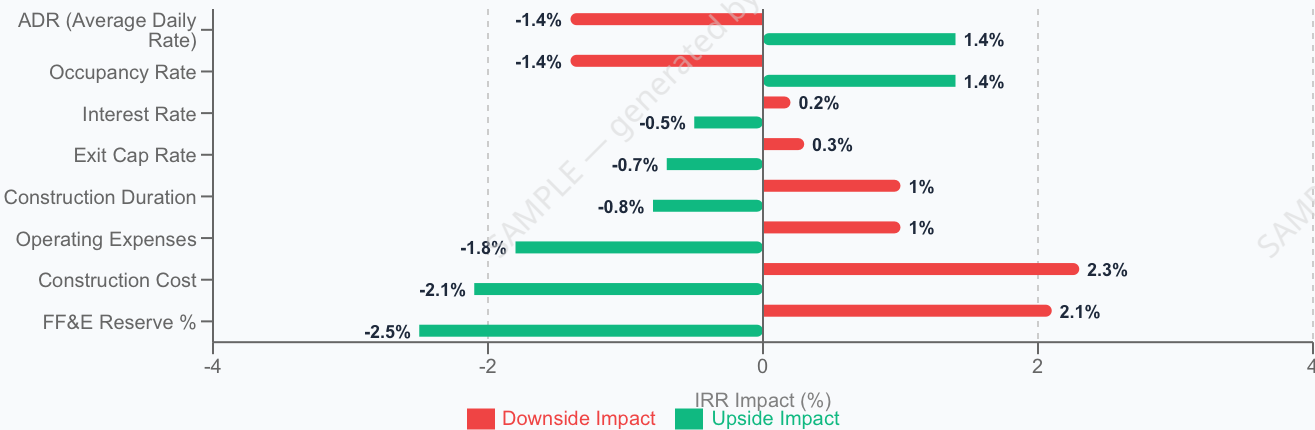


Chart shows the impact of individual variable shocks on Project IRR relative to Base Case.

Scenario Comparison

Metric	Downside Case	Base Case	Upside Case
Project IRR	8.3%	9.2%	10.1%
Equity IRR	8.5%	8.6%	9.4%
Equity Multiple	2.32x	2.37x	2.60x
Payback Period	13.3 yrs	13.0 yrs	13.0 yrs

Financial Analysis

Scenario Analysis Results

Scenario Summary

Metric	Downside Case	Base Case	Upside Case
Project IRR	8.3%	9.2%	10.1%
Equity IRR	8.5%	8.6%	9.4%
NPV	MYR 365.5M	MYR 406.2M	MYR 446.8M
Payback Period (yrs)	13.3	13	13
Equity Multiple	2.32x	2.37x	2.60x

Downside Case Assumptions

Revenue / ADR Growth: -12% vs base
Stabilized Occupancy: -8pp vs base
Construction Cost: +15%
Exit Cap Rate: 8.00% (+100 bps)

Base Case Assumptions

Revenue / ADR Growth: 4% p.a.
Stabilized Occupancy: 68%
Construction Cost: Base budget (0%)
Exit Cap Rate: 7%

Upside Case Assumptions

Revenue / ADR Growth: +10% vs base
Stabilized Occupancy: +8pp vs base
Construction Cost: -10%
Exit Cap Rate: 6.50% (-50 bps)

Scenario Analysis Commentary

The scenario analysis for this data centre asset in Penang, Malaysia demonstrates solid resilience under stress across Base, Downside, and Upside cases. The Base Case delivers a 9.2% Project IRR and 2.37x equity multiple, underpinned by pricing and occupancy and demand and operating performance assumptions aligned with the Malaysia market. Under stress, the project maintains viability in the Downside case at a 8.3% Project IRR, while the Upside case reaches 10.1% Project IRR. The 1.8 percentage-point spread between Upside and Downside scenarios indicates moderate sensitivity, suggesting the base case can absorb reasonable market fluctuation. Overall, the risk-adjusted return profile supports institutional underwriting subject to ongoing monitoring of key drivers.